

Strong 1H26 profit alert reaffirms secular optical market trend

Quick Note

Yuanjie reported a positive profit alert on 21 July after market close and management hosted an analyst briefing call on the same day. The company guided to 1H26E revenue and earnings of CNY900-950mn (+339.1-363.5% y-y) and CNY600-650mn (+1,196.9-1,305.0% y-y), respectively. The 1H26E revenue/earnings guidance translates into 2Q26E revenue of CNY545-595mn (+352-393% y-y) and earnings of CNY421-471mn (+1,217-1,373% y-y). We believe the significant uptick shows strong demand for its optical laser chips from the AIDC market. We note Yuanjie's stock price has dropped around 16% in the past week (vs Shanghai Sci-Tech Innovation Board 50 Index down 14%), likely due to the market concerns about the rich valuation, slower product upgrade, as well as curbed pricing power on faster capacity expansion in the optical chip sector. We think the strong profit alert reaffirms the sustainability of demand upcycle of optical laser chips, driven by continuous strong demand from high-end 800G / 1.6T optical transceivers. We maintain Neutral and TP of CNY1,655, based on 65x FY28F EPS of CNY25.47.

Margin expansion driven by product upgrade in both telecom and datacom market; concerns about oversupply and price decline might be overdone

During the earnings call, management noted that the strong margin expansion in 2Q26E was driven by structural product upgrade in both the datacom and telecom markets. In the datacom laser chip segment, management noted the 70mW and 100mW CW lasers became the key drivers, and we believe the company is getting higher exposure to the 1.6T transceivers. Moreover, management noted that Yuanjie is developing the Ultra High Power (UHP) CW laser (300mW / 400mW), and it is confident that the company is poised to be one of the first pioneers to benefit from NPO / CPO demand. Despite the current small revenue contribution from EML, management noted the company's 100G EML capacity is expanding and shipments may ramp up quickly from 2H26E. To address market concerns about potentially more competitors and the unfavorable pricing competition, management noted that effective capacity expansion takes more than two years, and it expects pricing of core laser products to remain stable due to the undersupply.

Rating Remains	Neutral
Target price Remains	CNY 1,655.00
Closing price 21 July 2026	CNY 1,510.00

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Yuanjie Semiconductor Technology	688498 CH	CNY 1,510.00	21-Jul-2026	Neutral	N/A	

Yuanjie Semiconductor Technology (688498 CH)

CNY 1,510.00 (21-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Yuanjie Semiconductor Technology



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,655.00 is based on 65x 2028F EPS of CNY25.47, in line with WIND China A share optical laser sector median P/E. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical transceiver market; (2) weaker-than-expected NPO / CPO penetration; (3) top customer's supply chain diversification; and (4) geopolitical risks. Upside risks include: (1) stronger-than-expected orders from global optical transceiver manufacturers; and (2) faster-than-expected expansion of production capacity.

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